

Sustainability of the Net International Investment Position (NIIP)

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1MT404 Financial Stability

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Why Analyze the NIIP?

- **Globalization and Financial Flows:** The growth of cross-border assets and liabilities has dramatically outpaced GDP growth.
- **Financial Stability:** The NIIP (Net International Investment Position) is a key indicator of external vulnerability (e.g., Eurozone crisis, Asian crisis).
- **Traditional vs. Modern View:** Previously, focus was primarily on the Current Account (CA). Today, stocks and valuation effects are crucial.

The Essence of NIIP

The NIIP is a statistical statement that shows at a point in time the value and composition of:

- **Financial assets** of residents vis-à-vis non-residents,
- **Liabilities** of residents vis-à-vis non-residents.

Key Aspects per IMF:

- **Stock Variable:** Unlike the Balance of Payments (flow), the NIIP is a balance of wealth.
- **Valuation:** Ideally, all assets and liabilities should be valued at **market prices**.
- **Link to SNA:** The net position is part of the national balance sheet and determines the economy's net worth relative to the rest of the world.

Balance Sheet Components (Balance of Payments Textbook)

Illustration 13.1 Components of a Balance Sheet

Assets	Liabilities
A.1 Real assets (e.g., land, machinery, consumer durables, inventories)	L.1 Nonequity liabilities to residents
A.2 Financial assets	L.2 Nonequity liabilities to nonresidents
A.21 Claims on residents in the form of equity	Net worth
A.22 Other claims on residents	N.1 Net worth of enterprises attributable to resident owners
A.23 Claims on nonresidents, SDRs, and monetary gold	N.2 Net worth of enterprise attributable to nonresident owners
	N.3 Net worth of households and government

A balance sheet exists for all economic units. Assets can be split into real and financial assets; the latter can be divided into claims on residents and claims on nonresidents.

Consolidated Balance Sheet (Balance of Payments Textbook)

Illustration 13.2 Consolidated Balance Sheet of an Economy

Assets	Liabilities
A.1 Real assets (e.g., land, machinery, consumer durables, inventories)	L.2 Nonequity liabilities to nonresidents
A.23 Financial assets—claims on nonresidents, SDRs, and monetary gold	Net worth
	N.2 Net worth of enterprises attributable to nonresident owners

Economy's net worth is equal to its net international investment position plus its holdings of real assets.

Classification of Financial Instruments (BPM5/6)

The IMF manual divides the position into five functional categories, which determine the level of risk and return:

- ➊ **Direct Investment (FDI):** Controlling interest, stable capital.
- ➋ **Portfolio Investment:** Equity (stocks) and debt (bonds) securities.
- ➌ **Financial Derivatives:** Contracts for risk management.
- ➍ **Other Investment:** Trade credits, loans, currency, and deposits.
- ➎ **Reserve Assets:** Assets under the control of the central bank.

Relationship Between Flows and Stocks (IMF flow-stock identity)

The change in position between periods $t - 1$ and t is the result of three factors:

$$NFA_t - NFA_{t-1} = FT_t + OC_t$$

Where:

- **FT_t (financial transactions):** Transactions recorded in the financial account of the balance of payments (net lending/borrowing).
- **OC_t (other changes):** Other changes, which the IMF further divides into:
 - Price changes: Movements in stock and bond prices,
 - Exchange rate changes: Revaluation of foreign currency positions into domestic currency,
 - Volume changes: Debt write-offs, reclassification of instruments.

Reconciliation of IIP (Balance of Payments Textbook)

Table 13.1 Reconciliation of Essendon's IIP Statements

Changes in Position Reflecting:						
Item	Position as of December 31, 1994	Transactions*	Price Changes	Exchange Rate Changes	Other Adjustments	Position as of December 31, 1995
Assets						
Direct investment	1,100	+106	+94	+203	+35	1,538
Portfolio investment	850	+328	+78	+162	-35	1,383
Other investment	2,320	-1,345	—	+384	-13	1,346
Reserve assets	1,640	+32	+107	+322	+72	2,173
Total	+5,910	-879	+279	+1,071	+59	6,440
Liabilities						
Direct investment	3,104	-158	-45	+95	-16	2,980
Portfolio investment	252	+29	+12	+13	+18	324
Other investment	2,445	+866	—	+242	+7	3,560
Total	5,801	+737	-33	+350	+9	6,864
Net International Investment Position**	109	-1,616	+312	+721	+50	-424

*A positive sign denotes a net increase in assets or liabilities; a negative sign denotes a net decrease. This sign convention differs from that used in BOP statistics.

**Assets minus liabilities

Period-to-period changes in a country's international investment position can be explained in terms of BOP transactions, price changes, exchange rate changes, and other adjustments.

Balance of Payments – Basic Framework (BPM6)

Fundamental BOP Identity

$$CA + KA + NEO = FA \quad \Leftrightarrow \quad CA \approx -\Delta NFA + \text{valuation} + \text{other}$$

Interpretation: A current account deficit is not a "loss," but necessarily a reflection of net capital inflow. Every transaction is an exchange of assets.

- **CA (Current Account):** Goods, services, primary income (investment returns), secondary income.
- **FA (Financial Account):** FDI, portfolio, other investment, reserves.

Components of the Current Account (CA)

- **Trade Balance (Goods and Services):** Traditional measure of competitiveness (NX).
- **Primary Income (PD):** Compensation of employees and investment income (interest, dividends, reinvested earnings). *Key for the Czech Republic!*
- **Secondary Income (SD):** Current transfers (EU subsidies, remittances, taxes).

$$CA = NX + PD + SD$$

Components of the Financial Account (FA)

Classification by functional categories:

- ➊ **Foreign Direct Investment (FDI):** Acquisition of lasting influence (min. 10% voting power). Least volatile.
- ➋ **Portfolio Investment:** Debt and equity securities (under 10%). Highly liquid, risk of sudden outflows.
- ➌ **Financial Derivatives:** Instruments for hedging or speculation.
- ➍ **Other Investment:** Trade credits, loans, currency, deposits.
- ➎ **Reserve Assets:** Highly liquid foreign assets under the control of the central bank (foreign exchange reserves).

Open Economy Equilibrium – Derivation

From the national accounts identity:

$$Y = C + I + G + NX$$

By rearranging (Gross National Saving $S = Y - C - G$):

$$S - I = NX$$

Expanded by primary and secondary income (GNI instead of GDP):

$$NX + PD + SD = S - I \Rightarrow CA = S - I$$

Economic Intuition: A CA deficit means domestic investment exceeds domestic saving → necessity of importing capital from abroad.

Balance of Payments Identity – Full Version

Including errors and omissions (NEO):

$$CA + KA = FA + NEO$$

From the perspective of changes in foreign exchange reserves (ΔR):

$$CA + KA + \Delta FA_{non-reserve} + NEO = \Delta R$$

This identity is an accounting tautology. By the definition of double-entry bookkeeping, the balance of payments must always sum to zero.

Definition and Identity of NIIP

$$NFA_t = FA_t - FL_t = \text{Net Foreign Assets (NIIP)}$$

- **Positive NIIP (>0):** Net creditor to the world (Germany, Japan, Norway).
- **Negative NIIP (<0):** Net debtor (USA, Czech Republic, Spain).

Change in Position:

$$\Delta NFA_t = \Delta FA_t - \Delta FL_t$$

Link to flows (flows vs. stocks):

$$NFA_t = NFA_{t-1} + CA_t + KA_t + NEO_t + Valuation_t$$

Detailed decomposition of the change in net position (Brūna 2013):

$$\Delta NFA_t = NX_t + SD_t + CA_t + [ir_t + div_t + rp_t + cg_t + er_t(1 + ir_t + div_t + rp_t + cg_t)]NFA_{t-1}$$

Equation Breakdown:

- **Cash-flow streams:** $NX_t + SD_t + CA_t$ (real economy).
- **Returns without exchange rate changes:** ir (interest), div (dividends), rp (reinvested earnings), cg (capital gains).
- **Exchange rate effects:** er_t acting on both the initial stock and newly generated returns.

Original Research: Lane & Milesi-Ferretti (2002)

Brûna (2013) builds on the breakthrough IMF research (Lane & Milesi-Ferretti, 2002: *External Wealth of Nations*).

- **Main Contribution:** The first comprehensive NFA database for 66 countries.
- **Finding:** The traditional view that cumulative current accounts explain NFA fails for advanced economies.
- **Valuation effects:** Lane and Milesi-Ferretti showed that for countries with large gross positions, capital gains and losses play a dominant role.

Brůna's Model for Transition Economies

Brůna (2013) applies the model to the CR and the specificities of transition economies:

Extended Dynamic Identity

$$\Delta NFA_t = CA_t + VA_t^{price} + VA_t^{FX} + \epsilon_t$$

Specifics for the CR according to Brůna:

- **Dominance of FDI on the liability side:** Generates dividend outflows that worsen the CA, but FDI is more resilient against speculative attacks.
- **Positive influence of reserves:** Enormous foreign exchange reserves of the CNB act as a "buffer" and generate specific valuation effects during CZK exchange rate movements.

Definition of Total Return (α_t)

By combining income and price components, we define the effective rate of return on the net position:

$$\alpha_t = (ir_t + div_t + rp_t + cg_t) + er_t(1 + ir_t + div_t + rp_t + cg_t)$$

Or simplified, if $r = ir + div + rp + cg$:

$$\alpha_t = r + er_t(1 + r)$$

- $\alpha_t > 0$: The position generates additional wealth (profit).
- $\alpha_t < 0$: Debt servicing costs or asset depreciation.

Returns and Costs from the Net International Investment Position

- **Excluding exchange rate changes (%):** $ir_t + div_t + rp_t + cg_t$
 - ir = interest, div = dividends, rp = reinvested earnings, cg = capital gains.
- **Exchange rate gains/losses (%):** $er_t(1 + ir_t + div_t + rp_t + cg_t)$
- **Total Return (α_t):**

$$\alpha_t = ir_t + div_t + rp_t + cg_t + er_t(1 + ir_t + div_t + rp_t + cg_t)$$

Intuition: α_t is the effective return/cost on the entire net position.

Model Objective

Question: How does a country's net international investment position (NIIP/NFA) evolve over time and when is it sustainable in the long run?

We will proceed in four steps:

- ① Definition of net foreign position.
- ② Linking with the current account.
- ③ Introducing valuation effects.
- ④ Derivation of NIIP-to-GDP dynamics.

Key Intuition: The NIIP changes not only through the current account but also via:

- returns on assets and liabilities,
- exchange rate revaluation,
- changes in asset prices.

Step 1: Definition of Net Foreign Position

We define:

$$NFA_t = FA_t - FL_t$$

where:

- FA_t = foreign assets of residents,
- FL_t = foreign liabilities to non-residents.

Interpretation:

- $NFA_t > 0 \Rightarrow$ country is a net creditor,
- $NFA_t < 0 \Rightarrow$ country is a net debtor.

Change in position between two periods:

$$\Delta NFA_t = NFA_t - NFA_{t-1}$$

Step 2: Link to the Current Account

We start with the national account identity:

$$Y = C + I + G + NX$$

By rearranging:

$$Y - C - G = I + NX$$

We define national savings:

$$S = Y - C - G$$

We get:

$$S = I + NX$$

therefore:

$$S - I = NX$$

Expanding by primary and secondary income:

$$CA = NX + PD + SD$$

Step 3: Flow-Stock Identity

A change in NIIP arises from two sources:

- ① transactions captured in the current account,
- ② revaluation of the existing position.

Therefore:

$$\Delta NFA_t = CA_t + VA_t + \varepsilon_t$$

where:

- CA_t = current account,
- VA_t = valuation effects,
- ε_t = statistical errors and other changes.

Equivalently:

$$NFA_t = NFA_{t-1} + CA_t + VA_t$$

Key Idea: The NIIP is not determined solely by the accumulation of current accounts.

Step 4: Returns and Valuation Effects

The existing foreign position generates:

- interest income,
- dividends,
- reinvested earnings,
- capital gains,
- exchange rate revaluation.

We define the total nominal return:

$$r_t = ir_t + div_t + rp_t + cg_t$$

Exchange rate change:

$$er_t$$

Total valuation effect:

$$\alpha_t = r_t + er_t(1 + r_t)$$

Then:

$$VA_t = \alpha_t NFA_{t-1}$$

Valuation Effect Intuition

Assume an initial position:

$$NFA_{t-1}$$

During the period:

- 1 The position generates a return:

$$r_t NFA_{t-1}$$

- 2 Subsequently, an exchange rate revaluation of the entire value occurs:

$$er_t(1 + r_t)NFA_{t-1}$$

Total value change:

$$\alpha_t NFA_{t-1}$$

Important Conclusion: Even without new trade flows, the NIIP can change significantly solely due to asset prices or the exchange rate.

Step 5: NIIP Dynamic Equation

Substitute the valuation effect into the flow-stock identity:

$$NFA_t = NFA_{t-1} + CA_t + \alpha_t NFA_{t-1}$$

By rearranging:

$$NFA_t = (1 + \alpha_t)NFA_{t-1} + CA_t$$

This is the fundamental dynamic equation of the NIIP.

Interpretation:

- CA_t creates new foreign claims or debt,
- α_t changes the value of the already existing position.

Step 6: Normalization relative to GDP

To assess sustainability, we normalize relative to GDP.

Define:

$$nfa_t = \frac{NFA_t}{Y_t}, \quad ca_t = \frac{CA_t}{Y_t}$$

Nominal GDP growth:

$$Y_t = (1 + \gamma_t)Y_{t-1}$$

Substitute into the dynamic equation:

$$NFA_t = (1 + \alpha_t)NFA_{t-1} + CA_t$$

and divide by Y_t :

$$nfa_t = \frac{1 + \alpha_t}{1 + \gamma_t}nfa_{t-1} + ca_t$$

This is the key equation for NIIP sustainability.

Step 7: Stabilization Condition

We seek the situation where:

$$nfa_t = nfa_{t-1}$$

Substitute:

$$nfa = \frac{1 + \alpha_t}{1 + \gamma_t} nfa + ca_t$$

By rearranging:

$$ca_t = -\frac{\alpha_t - \gamma_t}{1 + \gamma_t} nfa_{t-1}$$

Interpretation:

- If $\alpha > \gamma$ (debt costs exceed growth), the country must generate surpluses $ca > 0$, otherwise debt explodes.
- If $\alpha < \gamma$ (economy grows faster than interest), the country can afford permanent current account deficits without worsening the debt-to-GDP ratio.

Long-term Convergence to a Safe Level

If we want the net position not only to stabilize but to improve toward a safe target threshold (e.g., -35% per the EU Macroeconomic Imbalance Procedure):

$$\Delta nfa_t > 0 \quad \Rightarrow \quad ca_t + \frac{\alpha_t - \gamma_t}{1 + \gamma_t} nfa_{t-1} \geq \delta_t$$

Where δ_t is the tolerated/sustainable capital inflow (pace of deleveraging). Countries in crisis often experience a *Sudden Stop* (abrupt halt of capital inflows), forcing an immediate (and painful) current account adjustment via a collapse in imports.

What Determines NIIP Sustainability?

$$\text{Sustainability} \iff \gamma_t \gtrless \alpha_t$$

Key Mechanisms:

- 1 **Current Account** creates new foreign claims or debt.
- 2 **Valuation effects** change the value of the existing position.
- 3 **GDP growth** "dilutes" existing debt relative to the size of the economy.

Practical Implication: A country with a negative NIIP is not necessarily unstable:

- Depends on the currency structure,
- Type of liabilities (FDI vs. debt),
- Difference between growth and financing costs.

Gross vs. Net Positions and Valuation Effects

- In the era of financial globalization, gross assets and liabilities grow regardless of net CA flows.
- **Consequence:** A small percentage revaluation of a massive gross position generates a valuation effect that can be several times larger than annual current account flows.
- $Valuation_t = \Delta Price_t \cdot Assets_{t-1} - \Delta Price_t \cdot Liab_{t-1}$

Debtor's Refinancing Risk

Refinancing needs (relative to GDP) express how much capital a country must attract annually:

$$\frac{I_t - S_t}{GDP_t} + \frac{FL_{T-1}^{SHORT} - FA_{T-1}^{SHORT}}{GDP_t} + \frac{NFA_{T-1} \cdot \alpha_t}{GDP_t} = \frac{\Delta FL_t - \Delta FA_t}{GDP_t}$$

Three sources of pressure:

- 1 Structural gap between savings and investment ($I - S$).
- 2 Rolling over (refinancing) short-term debt.
- 3 Costs of servicing the existing external position (α).

Atkeson et al. (2023): US NIIP Decomposition

From the equation: $NFA_t - NFA_{t-1} = CA_t + VA_t + RES_t$

Summing from $t = 1$ to T :

$$NFA_T = NFA_0 + \sum_{j=1}^T CA_j + \sum_{j=1}^T VA_j + \sum_{j=1}^T RES_j$$

For a significant valuation effect (VA_t), Atkeson identifies two conditions:

- 1 Gross positions must be relatively large relative to GDP.
- 2 The values of foreign assets and foreign liabilities must not co-move strongly in the same direction.

US Net International Investment Decomposition (NIIP)



US Net International Investment Decomposition 1 (NIIP)

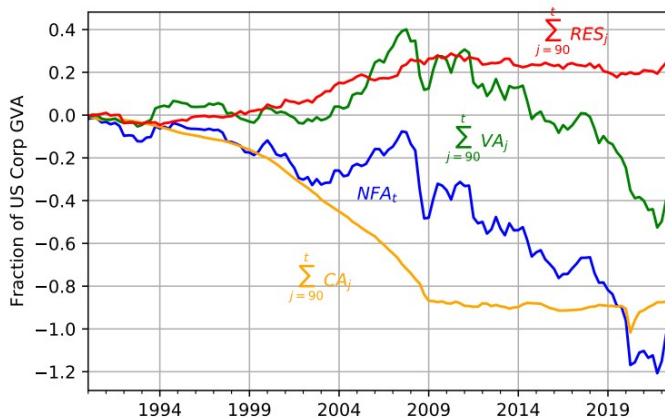


Figure 3: Decomposition of Changes in U.S. Net Foreign Assets over U.S. Corporate Value Added

US Net International Investment Decomposition 2 (NIIP)

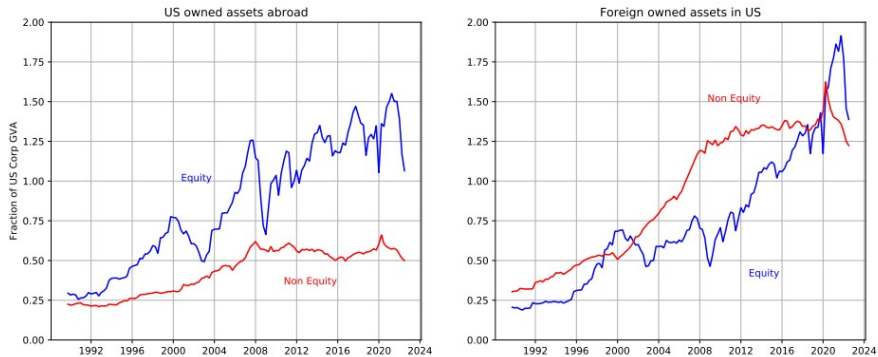
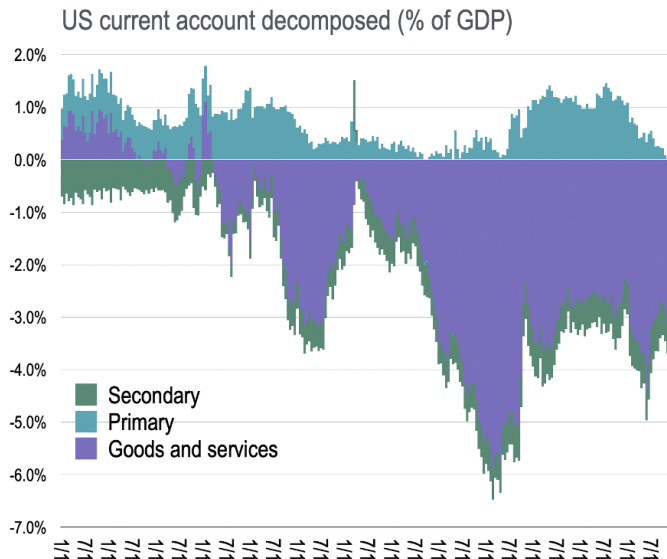


Figure 4: Gross Equity and Non-equity Positions over U.S. Corporate Value Added

US Net Current Account Decomposition



Comparison of Methods: Brūna vs. Atkeson

Feature	Brūna (2013)	Atkeson (2023)
Main Focus	Transition economies, external stability.	Global imbalances, US case.
Role of FX	Key factor for small open economies.	Secondary factor relative to equity prices for US assets.
Residual Term	Treated as errors and omissions in data.	Includes statistical discrepancies and "dark matter."

Exorbitant Privilege Phenomenon (USA)

Definition

The USA can sustain long-term current account deficits without an explosive increase in negative NIIP-to-GDP, thanks to the asymmetric composition of its balance sheet.

Asymmetry of Currencies and Instruments:

- **Liabilities:** The USA borrows mainly in its own currency (USD) and in risk-free instruments (Treasuries, low yield).
- **Assets:** The USA invests in foreign currencies and riskier assets (FDI, equities, high yield).
- **Result:** A weak dollar = higher USD value of assets. The yield differential generates positive net primary income despite a negative NIIP.

Tooze and the "Dollar Trap"

Adam Tooze and the "Dollar Trap" concept:

- The world needs a safe dollar asset (US Treasuries).
- Permanent demand for USD from foreign governments, firms, and central banks pushes US liability interest rates down.
- Thus, the USA effectively exports "safety" and imports real goods (trade deficits).
- Dollar Trap: Even as US debt grows, the system lacks an alternative, ensuring a stable (albeit negative) NIIP for the USA.

United States: Changing Net IIP (Money Inside Out)

Analysis from the Substack *Money Inside Out* points to the US NIIP paradox:

- **Deeply negative position:** The USA owes the world trillions of USD.
- **Positive net income:** Despite the debt, the USA still collects more in dividends and interest from the world than it pays to non-residents.

Why?

- 1 **Yield differential:** US assets (FDI abroad) yield much more than US liabilities (government bonds held by China/Japan).
- 2 **The Privilege:** The USA borrows in dollars but invests in foreign currencies.

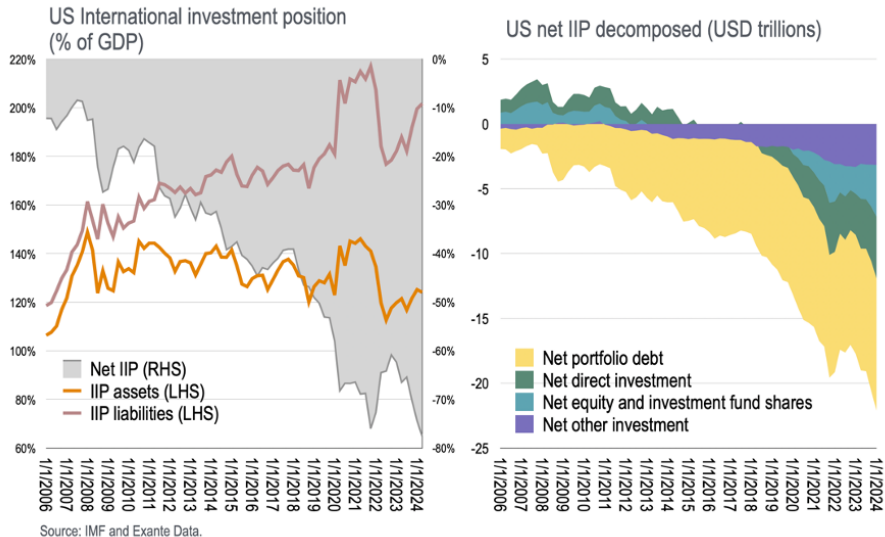
USA as a "Global Venture Capitalist"

According to Money Inside Out, the US balance sheet behaves like a venture fund:

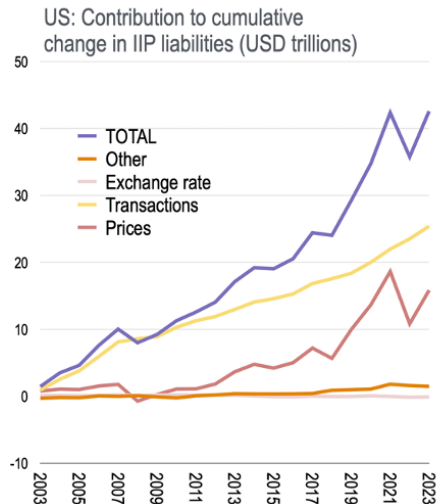
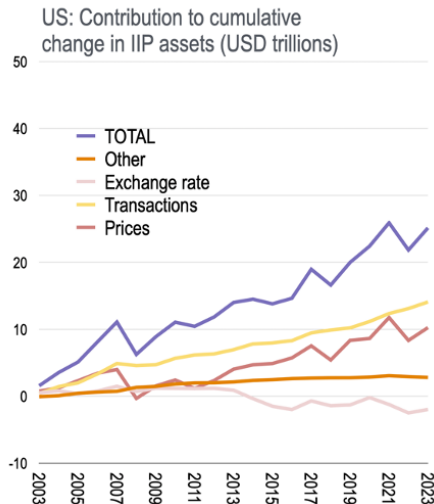
- **Liabilities side:** Short-term, cheap debt (safe havens).
- **Assets side:** Long-term, risk capital (technology, FDI).

Implications for stability: As long as the dollar remains the reserve currency, a negative NIIP can be sustainable almost "indefinitely."

US Net International Investment Position (NIIP)



US Net International Investment Contributions (NIIP)



Special Characteristics of Advanced Economies

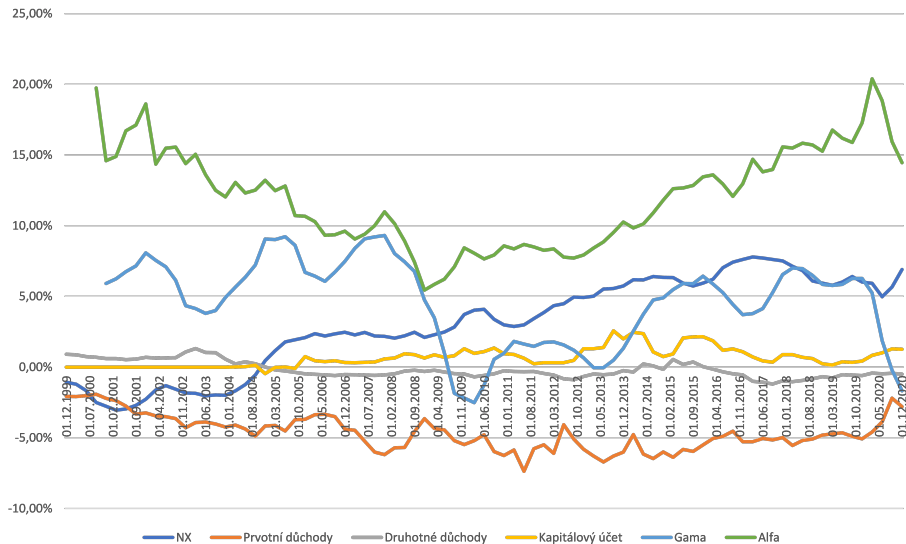
- **Currency Structure:** Liabilities dominated by own currency → absence of exchange rate risk in debt service.
- **Original Sin:** Virtually non-existent. Countries can issue domestic currency debt to international investors.
- **Active Role of Central Bank:** Ability to conduct QE, influence the domestic curve, which cheapens α on the liability side.
- **Valuation Buffers:** In times of crisis, the domestic currency tends to appreciate (safe haven effect – e.g., Switzerland, Japan), which theoretically could worsen the NIIP (paradox).

Special Characteristics of Emerging and Transition Economies

Emerging markets (incl. historically the CR, Poland, Hungary) face specific obstacles:

- **Net Recipients of FDI:** While this limits the risk of sudden capital flight, it generates structural dividend outflows on the current account.
- **Original Sin:** Inability to borrow long-term in domestic currency (no longer applies to CR, but true for many developing nations).
- **Role of FX Reserves:** A large portion of assets consists of central bank reserves (low yield), while liabilities consist of private debt/FDI (high cost).
- **Convergence and Appreciation:** The Balassa-Samuelson effect leads to natural currency appreciation, which dampens foreign currency debt but worsens the trade balance.

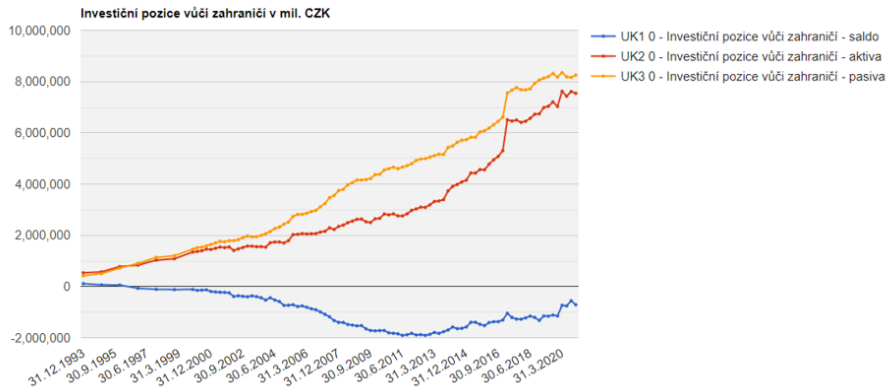
Sustainability Conditions – CR Application



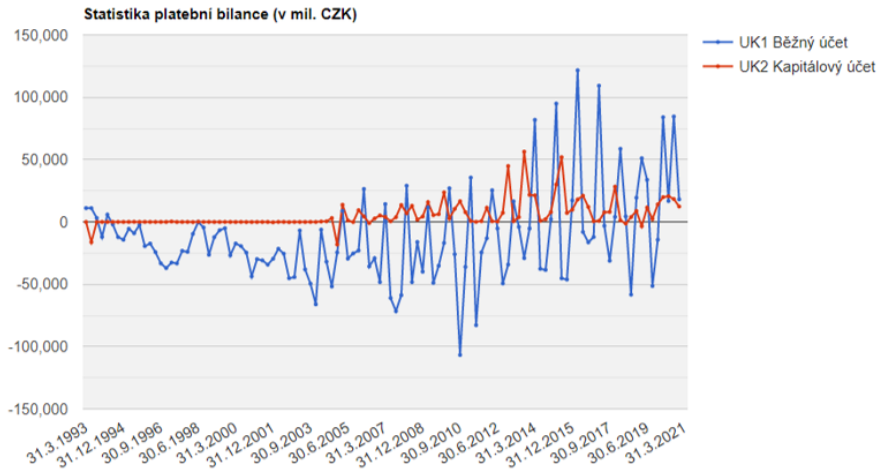
CR: NIIP Development and Macro Context (CNB Data 2024)

- **Record Surplus 2024:** The current and capital accounts reached a surplus of approx. 3.5% of GDP.
- **NIIP Value:** Improvement from -14.5% (2023) to approx. **-7.2% of GDP (2024)**. This is the best result since 1999.
- **Reasons for Improvement:**
 - ① Sharp increase in trade balance (car exports, recovery of supply chains),
 - ② Valuation effects due to koruna weakening (increases the CZK value of CNB's foreign assets),
 - ③ Increase in prices of foreign stocks held by Czech residents.

Investment Position of the CR



Current and Capital Account of the CR



CR: Ex-FDI Position and Interest Differential (CNB 2023)

Looking at the NIIP excluding direct investments, the picture changes completely:

- **FDI-adjusted Position:** The CR is strongly positive ("net creditor to the world") at approx. **+36% of GDP**.
- **Currency Structure:** CR's foreign assets are in foreign currencies (EUR, USD), while liabilities are predominantly in koruna.
- **Interest Shock 2023:** Rates rose abroad (ECB, Fed) while domestic CNB rates had already plateaued. Yields on assets increased, but liability costs grew more slowly.
- **Result:** Net income from non-FDI investments improved by nearly 0.5% of GDP (CNB, 2023).

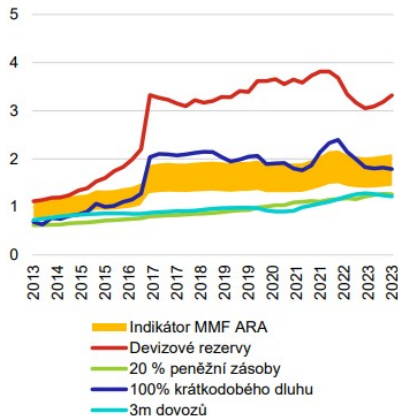
CR: Sectoral Decomposition of NIIP

Who is the creditor and who is the debtor in the CR?

Sector	Character of Position
CNB (Central Bank)	Strongly Positive – Enormous FX reserves accumulated during the exchange rate commitment (2013–2017).
Government (State)	Negative – Government bonds held by non-residents (even in CZK).
Banks	Negative – Financing from foreign parents, short-term deposits.
Corporations (Non-fin.)	Deeply Negative – Dominated by FDI (equity).
Households	Positive – Holding foreign stocks, mutual funds.

Graf 33: Rezervy již řadu let daleko přesahují úroveň potřebnou pro prevenci a řešení krizí

(rezervní aktiva ČNB a indikátory adekvátnosti, bil. Kč)



Pozn. Metrika MMF ARA je váženým průměrem vývozu, peněžní zásob, krátkodobých a dlouhodobých závazků. Krátkodobý zahraniční

CR: Influence of Interest Differential (CNB 2023/24)

In 2023 and 2024, a unique situation occurred:

- **Domestic Rates:** The CNB held rates high (7
- **Foreign Rates:** The ECB and Fed were increasing rates.
- **Impact on NIIP:** Since CR's assets are more sensitive to foreign rates, net interest income paradoxically improved (reducing capital outflow).

Valuation Gains on Foreign Exchange Reserves

The 2024 Balance of Payments Report emphasizes:

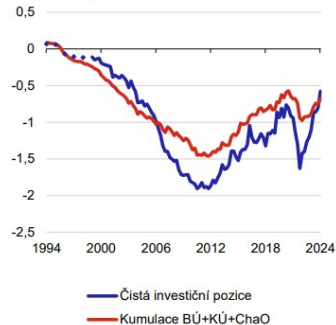
- The weakening of the koruna during certain periods of 2024 led to an **increase in the value of FX reserves in koruna terms**.
- This purely accounting (valuation) gain "improved" the CR's net position by hundreds of billions of koruna without the need to export a single good.

Investment Position of the CR – Detail

Graf 6

Záporná investiční pozice předčila kumulaci vnějších bilancí ekonomiky

(čistá investiční pozice a kumulace BÚ+KÚ upravená o chyby a opomenutí, v bil. Kč)



Zdroj: ČNB

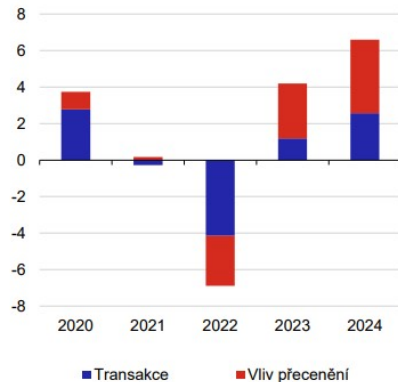
The negative investment position outpaced the accumulation of the economy's external balances.

Effect of Revaluation

Graf 4

Přečehovací efekty dále zmírnily čistou investiční pozici ČR vůči zahraničí

(rozklad meziročních změn investiční pozice ČR vůči zahraničí, v % HDP)

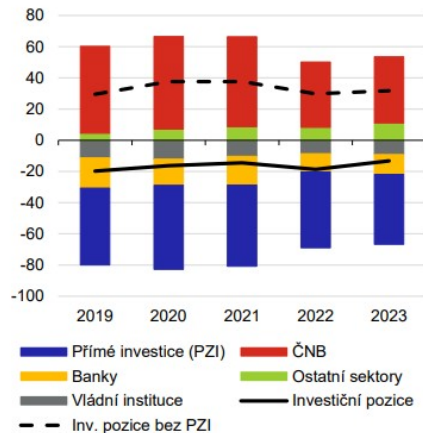


Zdroj: ČNB

Investment Position of the CR by Debtors

Graf 3: Čistá „dlužnická“ pozice ČR se zmírnila na úroveň před energetickou krizí

(investiční pozice ČR podle dlužníků v % HDP, stav ke konci období)



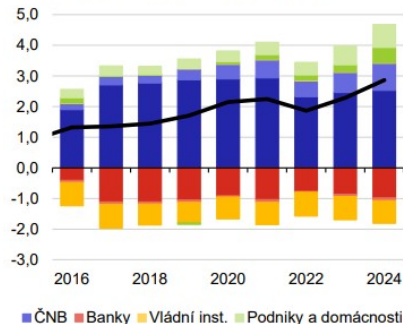
Zdroj: ČNB, ČSÚ

Investment Position of the CR excluding FDI

Graf 26

Při vyloučení PZI je investiční pozice ČR významně věřitelská

(skladba čisté investiční pozice ČR vůči zahraničí bez PZI, sytá barva označuje dluhové instrumenty, bílá ostatní, v bil. Kč)

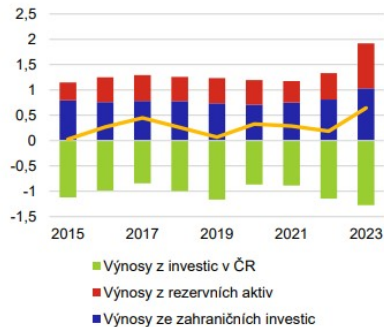


Zdroj: ČNB, výpočet ČNB

When FDI is excluded, the CR's investment position is that of a creditor.

**Graf 24: Výnosy z jiných než přímých investic
tlumily celkový schodek výnosů z investic**

(důchody z portfoliových investic, ostatních investic a rezervních aktiv,
v % HDP)



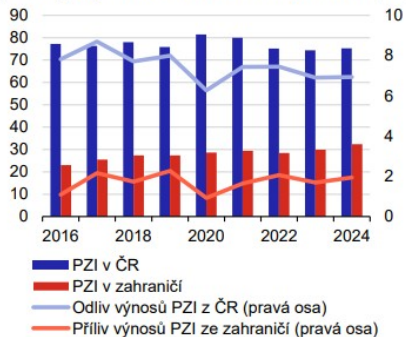
Zdroj: ČNB, výpočet ČNB

Foreign Direct Investment

Graf 24

Růst českých přímých investic (PZI) v zahraničí pokračoval

(indikátory přímých investic v ČR a v zahraničí v poměru k HDP, v %)



Pozn.: PZI v ČR - objem přímých zahraničních investic v ČR, PZI v zahraničí - objem českých přímých investic v zahraničí.

Zdroj: ČNB, výpočet ČNB

FDI Analysis and the "Round-Tripping" Phenomenon (CNB 2024)

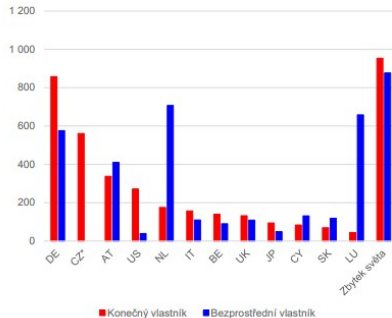
Definition of Ultimate Beneficial Owner (UBO)

Statistics examine the ultimate owner, not just the first "immediate" investor (which is often a shell company in the Netherlands/Cyprus).

- **Round-tripping:** Domestic capital "flows out" abroad into an SPV (Special Purpose Vehicle) and returns as FDI. Reasons: taxes, investment protection, anonymity.
- **Data for CR:** The CR has a high rate of round-tripping within the OECD (>10
- **Consequence for NIIP:** We overestimate the actual foreign dependence of the economy. Czechia is (after Germany) the second most significant ultimate owner of "foreign" capital in the CR.

Graf VI-2.1: Nejvíc v ČR investují Němci a Rakušané, nikoliv státy Beneluxu

(Přímé zahraniční investice v ČR podle země konečného a bezprostředního vlastníka, stav v roce 2019, mld. Kč)



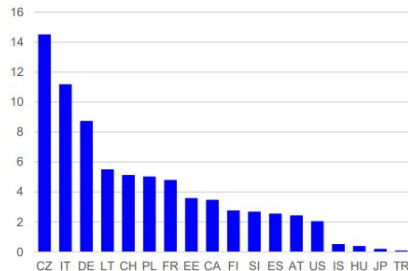
(*)Konečným vlastníkem je buď entita z ČR, nebo žádný zahraniční investor nedisponuje většinovou kontrolou.

Zdroj: ČNB, výpočty autorů

Ultimate Owners – International Comparison

Graf VI-2.3: Podíl zahraničních investic s tuzemským konečným vlastníkem je v ČR nejvyšší mezi zeměmi, které tato data zveřejňují

(podíl PZI s vrcholovým investorem v domácí ekonomice v roce 2019 v %)



Zdroj: OECD Stat, výpočty autorů

The Dividend Outflow Problem

- The high stock of historical FDI (from the 90s and 00s) generates massive primary income for non-residents.
- Estimate: The return on FDI in the CR is relatively high.
- Distribution of returns:
 - ① **Paid dividends:** Direct capital outflow from the current account.
 - ② **Reinvested earnings:** Remains in the CR (as investment on the FA) but accounting-wise worsens the current account (recorded as an outflow).